

specific products or brands. “The infrastructure had to be built [for sustained growth]. There are some four or five things that a company needs to get right and it is not a short-term plan but may take 10-15 years,” says Narayanan.

So, first, it increased distribution points (distributors and wholesalers) from 8,800 in 2017 to 13,500 by March 2022. Second, it backed them up with additional sales force that included sales executives, beat officers and managers. According to Narayanan, in the past five years, this number has gone up by 25 per cent. Third, the management adopted a micro-market approach and went for targeted product placements in specific hamlets. In partnership with the Ministry of Electronics and Information Technology (MeitY), Nestlé is placing its products in the common service centres set up by the ministry in villages. To align its products with the consumer base, it is pushing smaller packs such as ₹5 Maggi noodles that are specifically produced for such markets. Soon, it will also start selling prepared Maggi noodles.

A pilot project is being tested in Varanasi—which involves turning rural women into entrepreneurs who can sell its products in the remotest of areas—and will be scaled up across the country soon. It is also foraying into branded retail through a project called One Nestlé, which involves setting up Maggi points across the country—kiosks that will not only serve hot Maggi noodles and Nescafé, but will also showcase the entire Nestlé portfolio.

The scale-up has been impressive. From 1,000 villages in 2017, Nestlé now places its products directly in 70,000 villages. By the end of 2022, it aims to reach 100,000 villages. Subsequently, rural sales’ share of total domestic sales has grown to around 22 per cent from a little over 10 per cent in 2017. To

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“THE PANDEMIC HAS MADE PEOPLE REALISE THE IMPORTANCE OF HEALTH AND NUTRITION. AND TRUST AND RELIABILITY OF ESTABLISHED AND OLDER BRANDS IS ONLY SET TO GROW FURTHER”

SURESH NARAYANAN
CHAIRMAN AND MD, NESTLÉ INDIA

keep the momentum, Nestlé has revised its targets. In 2019, it had set a target of reaching any village with a population of over 5,000—translating into some 120,000 villages out of India’s 600,000-odd hamlets. It now aims to expand to 200,000 rural habitats within the next few years. Which means, Narayanan now wants to sell his Maggi instant noodles and KitKat wafers in any village that has a population of 2,000.

THE MAGGI CRISIS of 2015, the nadir in Nestlé’s 110 years in India, was a turning point in its product strategy. Not only consumers’ trust, even Nestlé’s business was at stake. It particularly hurt as the category used to contribute 30 per cent to its top line and yielded steady volume growth for years, even as offtake in other categories dwindled. To hedge against such risks, the company adopted a carpet-bombing strategy to